both the developed and developing economies but as is always the case, the latter will suffer the most. India has seen some welcome signs of economic recovery lately, but this will be difficult to sustain.

China introduced and has recently re-introduced the most severe lockdowns by any country. Their impact has been offset to some extent by a surge in Chinese exports of health equipment and pharmaceutical ingredients. China was an island of relative economic stability in a highly disrupted global economy, and this reinforced its geopolitical profile. But as we head into the new year, the Chinese economy looks more vulnerable. The debt to GDP ratio of over 280 per cent looks unsustainable for an economy likely to grow by a slower 5 per cent in 2022. Another vulnerability relates to the property and construction sectors, which contribute roughly 30 per cent to China's growth. The largest real estate firm, Evergrande, is facing bankruptcy and others are also in dire straits . This may trigger an economic and financial crisis which even China's state-led dispensation may not be able to contain. The pandemic has adversely affected the country's ambitious Belt and Road Initiative (BRI) projects and concerns over debt exposure and political pushback have surfaced in several partner countries. A slowing Chinese economy may pose a bigger problem than the relentlessly advancing one because there are no other drivers of global growth remotely close to China's scale.

Geopolitics is in a churn and is likely to become even more volatile. The key equation is between China and the US. Since the global economic crisis of 2008, China has assessed that it has fundamentally altered the balance of power in its favour and entered a phase of significant strategic opportunity. Its assertive and even aggressive foreign policy is anchored in this perception. Will China have passed its peak in 2022 and could this result in the retrenchment of its "wolf warrior diplomacy"? Or will it double down on its increasingly coercive and unilateral assertion of its interests—interests that have expanded as its power has? Either trend is possible and may become apparent in Chinese actions on Taiwan and its posture on the India-China border.

China looks at power in relative terms. It may be entering a phase of diminished growth and even over-extension, but its perception of the credibility of the US has diminished even further thanks to the precipitate and chaotic American withdrawal from Afghanistan. It may well be tempted to resolve the Taiwan issue in its favour either through a blockade or military occupation, convinced that the US will have no stomach for a fight. The new year is likely to provide more tangible clues regarding Chinese calculations but increased tensions in the Taiwan Strait are a given. This may confront India with difficult choices if its partners in the Quad, all of whom have much greater stake in the Taiwan issue than New Delhi does, press for its greater formalisation and its more overtly military role. This may expose India to greater pressure on its land border with China.

QUAD PARTNERS MAY PRESS INDIA TO PLAY AN OVERT ROLE IN TAIWAN. THIS MAY EXPOSE NEW DELHI TO MORE PRESSURE ON ITS BORDERS WITH CHINA

The Taliban takeover of Afghanistan is a setback for India. It has given Pakistan geopolitical leverage even if this proves to be short-lived. Pakistan has ensured that the dominant faction in the ruling dispensation in Kabul is the Haqqani group, which was described by former Pentagon chief Mike Mullen as a "veritable arm of the ISI". It is the Haqqanis who targeted the Indian embassy and Indian nationals in Afghanistan on behalf of the ISI. Any effort by India to revive its presence in the country in any form will always be risky. Indian humanitarian and economic aid will be welcome at a time when the country is facing famine and economic collapse but this will not provide any meaningful leverage.

The Taliban takeover is proving to be a major morale booster for jihadi groups, who are already turning their attention to Jammu and Kashmir and other targets in India. China will be a more powerful shield for Pakistan in international fora, frustrating Indian efforts to isolate Pakistan diplomatically on the issue of cross-border terrorism. India has done well to coordinate with regional countries to deal with the security challenge posed by the political change in Kabul. Inviting the Central Asian states as chief guests at the forthcoming Republic Day is an imaginative move but its substantive impact must not be overrated.

One hopes that 2022 will be the year of a revitalised Act East policy. The key to this is a return to the Regional Comprehensive Economic Partnership (RCEP) Agreement. India cannot dispense with the economic and commercial pillar of Act East. It should also revive its application to become a member of Asia-Pacific Economic Cooperation (APEC), which does not entail making trade concessions but will provide a networking and learning platform for Indian business and industry. India is the only Quad member which is not an APEC member. It should leverage its Quad credentials to become one. These are some of the initiatives which may help India navigate what will be another year of unpredictability and fresh challenges. ■

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